



UTM
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Department of Computer Science
Faculty of Computing

Cybersecurity Challenges and Ethical Concerns in Next-Generation Enterprise Systems

(Assignment 1)

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Prepared by : 1) Muhammad Syahmi Faris bin Rusli (A23CS0138)
2) Muhammad Afiq Danish bin Mohd Hazni (A23CS0118)

Section : 01

Lecturer : Dr. Aryati binti Bakri

Executive Summary

This report presents the cybersecurity challenges and ethical issues in next generation enterprise systems. It hopes to investigate the way cloud computing, AI, IoT, and automation have reinvented how businesses operate with significant threats including data breaches, phishing, ransomware, privacy violations, and evolving threats to their survival. Using a combination of a review of existing literature, real world examples, and established technical models, the report outlines a set of core themes which is the development of a wider attack surface through interconnected tech, vulnerabilities from poorly configured or inadequately protected system, and ethical dilemmas concerning new AI and quantum use cases. Key incidents such as the Schneider Electric ransomware attack demonstrate how poor security layering can lead to significant data loss and operational disruption. The essence remains the same which the future enterprise systems need resilience in two parts: first, we need state of the art security measures such as zero trust and proactive threat detection and second, we need strong ethical governance to achieve fairness, privacy, and organizational trust. This report proposes the integration of ethics by design and security by design approaches to sustainable and secure digital transformation.

1.0 Introduction

Modern enterprise systems have evolved from simple, on-premise models into complex, cloud-native infrastructures that rely heavily on Artificial Intelligence (AI), the Internet of Things (IoT), and automation. This transformation has enabled faster operations and greater connectivity, but also introduced new cybersecurity and ethical challenges. As digital transformation becomes central to how businesses operate, cybersecurity is no longer just a technical issue but is a core element of corporate resilience and trust (Cybersaint, 2024; SSOJet, 2025).

Over the past few years, enterprises have faced increasingly advanced cyber threats such as ransomware, AI-powered phishing, and data breaches targeting both cloud and hybrid systems. The World Economic Forum (2025) reports a significant rise in cyber risks, with ransomware and supply chain attacks ranking as top concerns. Similarly, TechTarget (2025) explains that misconfigured cloud environments and insecure APIs are now among the most common vulnerabilities in enterprise settings. Threat actors are using emerging AI technologies to craft adaptive malware, fake identities, and deepfake based fraud, while the coming wave of quantum computing could weaken existing encryption methods (IEEE Standards, 2025).

The rapid integration of new technologies also raises serious ethical questions. The Santa Clara University Ethics Center points out the need to balance data privacy with network monitoring, ensuring that digital activities are managed responsibly. CanaryTrap (2024) notes that AI-driven cybersecurity systems must remain transparent and accountable to avoid bias or misuse. These concerns extend to the potential dual use of technology, which is AI and quantum innovations that can defend systems, and might also be exploited for surveillance or cyberwarfare.

This report aims to examine the cybersecurity challenges and ethical concerns emerging from next generation enterprise systems. It seeks to analyze how these systems both benefit from and are endangered by advanced technologies, evaluate the key risks to enterprise data and trust, and propose strategies anchored in security by design and ethics by design frameworks for long term resilience and responsible innovation.

2.0 Literature Review

Enterprise systems have undergone a remarkable transformation, moving away from traditional, fixed on premises setups toward more agile, cloud based platforms powered by Artificial Intelligence (AI), automation, and the Internet of Things (IoT). This evolution reflects a widespread trend among digital enterprises striving for faster, more efficient solutions and streamlined workflows. As these systems grow increasingly interconnected and even self aware, the challenges surrounding cybersecurity have likewise become far more complex and nuanced.

The integration of AI with cloud technologies allows organizations to leverage real time automation and advanced analytics, significantly boosting their operational capabilities. However this same integration also broadens the potential attack surface, exposing systems to new vulnerabilities. Hybrid environments are particularly susceptible, often affected by issues like weak system configurations, poorly secured API, and risks tied to shared data and infrastructure. Adding another layer of complexity is the appearance of shadow AI which is the unauthorized use of AI tools by employees which creates unexpected security blind spots for organizations.

Around the world, discussions about cybersecurity have evolved beyond technical solutions, increasingly emphasizing trust, governance, and ethical responsibility. Concerns related to privacy, algorithmic bias, and the misuse of AI for surveillance are becoming more prominent, raising the difficult ethical advent of emerging technologies like Quantum AI and introducing additional uncertainty about fairness, security and integrity of future enterprise systems.

In summary, while next generation enterprise systems promise incredible progress and innovation, the challenge remains to develop ethical governance frameworks that can keep pace with this rapid evolution. Balancing technological advancement with responsible oversight will be critical in shaping a secure and fair digital future.

3.0 Analysis and Discussion

3.1 How the technology works or functions

Advanced technologies enable next generation enterprise systems, enabling greater flexibility, real time capability, and operations that deliver even better results to customers. The foundation is cloud infrastructure, providing scalable storage, AI/ML (Artificial Intelligence/Machine Learning) engines for analytics, and automation for data processes. IoT devices monitor environments, feeding data to edge computing nodes for localized processes.

Security solutions such as firewalls as well as intrusion detection systems can be layered and used to uncover and remove vulnerabilities. Ethics and governance features are algorithm audits and data privacy controls to ensure responsible use of technology. These systems are described in the literature as adaptable, modular, and event driven in nature to cope with new business threat scenarios.

3.2 Case examples or applications

Recent incidents show how next generation enterprise systems face real world cyber attacks. In early 2025, a global ransomware attack targeted Schneider Electric, exploiting weaknesses in the company's connected sustainability division and compromising 1.5 terabytes of sensitive industrial and compliance data. This incident showed how interconnected systems can lead to the exposure of valuable intellectual property if layered cybersecurity is not properly configured.

Likewise, insight Partners and Palo Alto Networks were also hit by a supply chain breach tied to compromised Salesforce tokens, which illustrates how even trusted third-party integrations can serve as attack vectors. As such, a number of organizations have embraced AI-driven detection and zero trust architectures to reduce risk, authenticating users continuously and monitoring the flow of data on their networks. These cases illustrate how enterprise leaders are reimagining digital defense to combine innovative cloud and AI deployment with strong governance, encryption, and real time threat response in efforts to remain operationally robust and to preserve stakeholder trust in ever more complex cyber ecosystems.

3.3 Advantages of Next-Generation Cybersecurity in Enterprise Systems

The advancement of next-generation enterprise systems have led to adoption of more intelligent and better cybersecurity mechanisms. Artificial Intelligence (AI) and Machine Learning (ML) technologies are increasingly being integrated into modern enterprise systems as these innovations provide several advantages that improve both technical and ethical foundation of enterprise operations. The advantages that these technologies provided are as follow:

1. Enhanced Threat Detection and Response

One of the significant advantages is the improvement in threat detection and response capabilities. Traditional systems often struggle to recognize new attack patterns. Thus, AI-driven solutions are being implemented which can identify anomalies and suspicious behaviours in real time. According to Zaid et al. (2024), machine-learning models can learn and study the patterns from large datasets and predict the potential cyberattacks before they occur. The detection time can be reduced from hours to seconds. This predictive capability not only minimizes potential losses but also enables more proactive defense mechanisms within enterprise networks.

2. Automation Technologies

Automation is another major benefit of next-generation cybersecurity, which is suitable to be practiced in modern enterprise systems. Kaur (2022) highlights that automated systems can reduce

the possibilities of human errors, which are responsible for a significant percentage of security breaches. Repetitive and time-consuming tasks such as log analysis, patch management and access control can now be handled automatically. By automating these processes, enterprise organizations can ensure consistency, speed and reliability in handling security incidents, while also freeing IT personnel to focus on higher priority tasks.

3.4 Disadvantages and Drawbacks

Although the next-generation cybersecurity technologies have significantly improved the protection of enterprise systems, there are some limitations and drawbacks that need to be considered. These limitations are mostly related to implementation complexity and high costs. Understanding these disadvantages is crucial for an organization to balance between innovation, practicality and responsibility.

1. High Implementation and Maintenance Cost

Integration of advanced technologies often requires large financial investments. Solutions such as AI-driven threat detection, blockchain-based authentication and Zero Trust Architecture (ZTA) require specialized infrastructure, regular software updates, and continuous system monitoring. According to Kaur (2022), small and medium enterprises organizations (SMEs) usually face challenges in adopting such technologies due to financial constraints and limited human resources. The high cost of specialized hardware and software are the main reasons that hinder the development, leading to weak protection across industries.

2. Complexity and Skill Shortage

Modern enterprise environments consist of diverse technologies from cloud services, IoT devices and legacy systems which must operate seamlessly together. This complexity makes cybersecurity integration technically challenging. Zaid et al. (2024) note that implementing adaptive AI and ML-based solutions requires expertise in data science, network architecture and ethical AI governance, which many organizations lack. The shortage of skilled cybersecurity professionals causes the development progress to be slowed and leaving enterprises vulnerable to possible cyber threats.

Recommendations

The rapid technological advancement of next-generation enterprise systems demands cybersecurity strategies that are not only technologically advanced but also ethically responsible. Based on the analysis of advantages and limitations, the following recommendations are proposed to help organizations build secure, adaptive and protected enterprise environments.

Human factors remain a major vulnerability in enterprise systems. Most of the workers especially the veterans are not familiar or lack skills with the latest technologies and will struggle to use it. Continuous training and awareness programs for employees, developers and staff are vital. Staff should be equipped with knowledge of latest technologies to cater with the use of advanced tools and softwares.

Regular cybersecurity drills, combined with certification programs can create a security-first culture within the organization.

Traditional network security models are no longer suitable for modern enterprise systems. Enterprises should consider implementing Zero-Trust principles that verify every connection request, regardless of its source. This approach minimizes unauthorized access, mitigates insider threats and ensures continuous authentication. Kaur (2022) states that Zero-Trust is effective in mitigating credential misuse and unauthorized movement within enterprise networks.

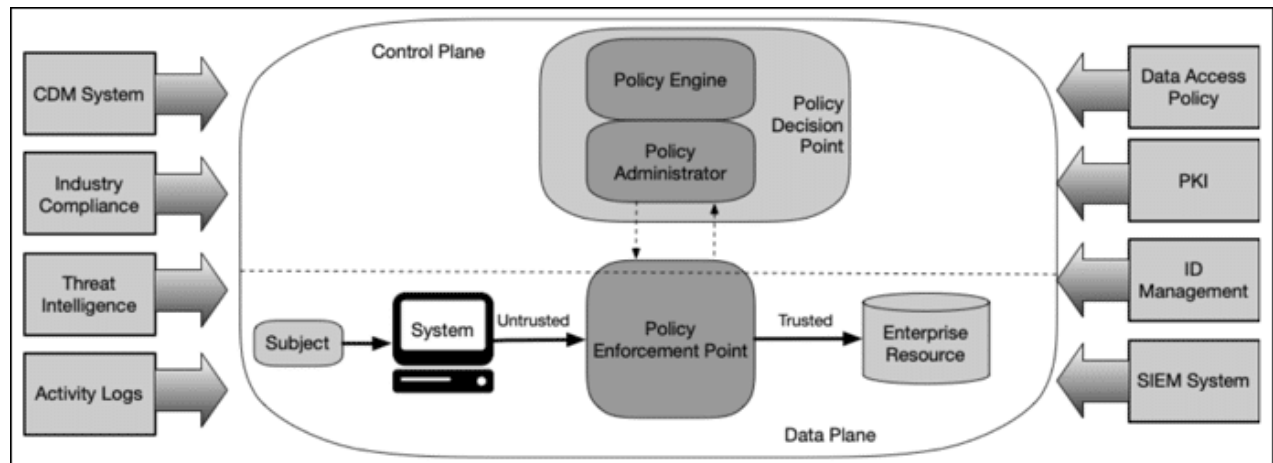


Figure 1: Zero-Trust-Architecture Model

Conclusion

Cybersecurity and ethical concerns in next-generation enterprise systems represent a technological necessity. As the technologies are rapidly evolving, a lot of advanced technologies are being adopted in enterprise environments such as AI, cloud computing and IoT. Moreover, the exposure to complex threats are also increasing due to these advancements. The analysis highlights that while next-generation cybersecurity solutions offer significant advantages in automation and threat prediction, they also pose challenges related to cost and complexity.

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Logbook

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Current development of cybersecurity in enterprise systems	22/10/2025	9.41 PM	Align it with the related research paper

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